WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

VENEZUELA

Americas

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Caracas	Capital and seat of the interim government, the National Assembly, the central bank and PDVSA; the US Embassy formally reopened here on 30 March 2026	Government relations, financial services, professional services, telecoms
Orinoco Oil Belt (Anzoátegui, Monagas)	Holds about 261 billion barrels of Venezuela's 303 billion barrels of proven reserves, the largest in the world, mostly extra-heavy crude	Upstream oil, diluents, enhanced recovery, oilfield services
José Industrial Complex (Anzoátegui coast)	Industrial complex serving Orinoco crude, where rehabilitation would restore operational flexibility as output recovers	Upgrading, storage, port and marine services
Zulia / Lake Maracaibo (west)	Historic oil heartland with mature fields suited to brownfield recovery, and home to coal producer Carbozulia	Brownfield oil, gas, coal, power
Offshore gas: Dragon and Cardón IV (Perla)	Shell-led Dragon field (about 4.2 Tcf, shared with Trinidad and Tobago) could begin gas exports in 2027; Eni and Repsol jointly operate Cardón IV	Offshore gas, LNG and cross-border energy links
La Guaira and north-central coast	Port and airport gateway for Caracas, and the area most affected by the June 2026 earthquakes, making it a focus for reconstruction	Ports, logistics, construction and reconstruction
Guayana region (Bolívar)	Mineral-rich south covered by the April 2026 mining reforms and by US licences for trade in Venezuelan minerals, including gold	Mining, metals, hydropower

INVESTOR ENTRY ROUTES

- US sanctions compliance as the starting point: the Government of Venezuela, PDVSA and the central bank remain blocked under US Executive Orders, so US-nexus activity must fall within an OFAC general or specific licence
- OFAC oil licences: GL 46E (Venezuelan-origin oil and petrochemicals, for established US entities), GL 52C (wider dealings with PDVSA, including new investment contracts), GL 50C (operations of six named companies, including Chevron, BP, Shell, Eni and Repsol), GL 47B (diluents) and GL 48D (supply of goods and services)

- Contingent-contract licences allowing investors to negotiate now and perform once authorised: GL 49B (general investment), GL 55A (coal and minerals), GL 56 (commercial contracts with the Government) and GL 62 (telecoms)
- Organic Hydrocarbons Law, amended 29 January 2026 with implementing regulations of 7 July 2026: ends PDVSA's near-monopoly, cuts PDVSA's minimum joint-venture stake to 50.1%, and introduces production participation contracts, a 30% royalty ceiling and a 15% integrated hydrocarbons tax
- Mining sector reforms introduced in April 2026, alongside an electricity-sector overhaul under consideration by the National Assembly
- Licensed payment structures: payments due to blocked Venezuelan entities are made to a US Treasury-managed account under Executive Order 14373, and licensed contracts with the Government or PDVSA must provide for dispute resolution in the US, UK, France or Singapore
- Currency regime: the bolívar trades at an official rate managed through central bank interventions, with a parallel market alongside it, so dollar-based revenue and offshore payment structures are central to project design

MARKET-ENTRY OBSERVATION

Venezuela in October 2026 is in an early but rapid phase of re-opening. Following the US operation of 3 January 2026 that removed Nicolás Maduro, the interim administration of Acting President Delcy Rodríguez has re-established diplomatic relations with Washington, amended the hydrocarbons law, introduced mining reforms and regained access to about $4.9 billion in IMF reserve assets after the IMF resumed dealings in April 2026. The IMF's October 2026 World Economic Outlook projects real GDP growth of about 5% in 2026 and 7% in 2027, after an estimated 9% in 2025. Oil is driving the recovery: officially reported output reached 1.206 million barrels a day in September 2026, up from 924,000 in January, exports to the US hit a multi-year high of 786,000 barrels a day in July, and OFAC has issued a steadily widening set of general licences covering oil, gas, minerals, telecoms and debt-restructuring advice.

Venezuela's main structural challenge is that its recovery is unfolding inside an evolving sanctions and political framework. US sanctions on the state, PDVSA and the central bank remain in place and are relaxed licence by licence; EU, UK and Canadian targeted measures continue; and inflation, which the IMF projects at about 468% on average in 2026, remains the highest in Latin America. Resilience comes from the scale of the resource base, rising oil revenue, renewed IMF engagement and the recovery from the June 2026 earthquakes, which OFAC has supported with a dedicated relief licence. For investors, the opportunity lies in licensed oil, gas, services and reconstruction activity today, and in negotiating contingent contracts now so they are ready to move as authorisations widen.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US sanctions remain in force	The Government of Venezuela, PDVSA and the central bank are still blocked, and US-nexus activity is lawful only within OFAC general or specific licences, many of which carry conditions and reporting duties	Take specialist sanctions counsel, map each transaction to a current licence and build compliance into contracts; the steady widening of licences in 2026 is creating a growing lawful opportunity set
EU, UK and Canadian targeted measures	The EU's arms embargo and targeted listings run to 10 January 2027, and UK and Canadian asset freezes on listed individuals remain; Delcy Rodríguez, delisted by the US on 1 April 2026, has not been reported as removed from EU or UK lists	Screen all counterparties and beneficial owners against every applicable list; EU discussion of possible delisting points to further alignment as the transition advances
Political transition and recognition	Government-opposition talks produced accords in August and September 2026, but no election date has been set; the IMF notes that members with over half its voting power recognise or deal with the Rodríguez administration	Engage both the authorities and the wider political spectrum, and structure projects to remain viable through the transition
Contract terms and legal protection	Many hydrocarbons rights depend on	Use licence-mandated forums in the US,

Issue	Potential Impact	Possible Mitigation
	ministerial approvals, production contracts limit asset ownership and lending security, and Venezuela left ICSID in 2012	UK, France or Singapore, political-risk insurance and phased commitments linked to milestones
High inflation and currency movements	Inflation is projected at about 468% for 2026, and the official rate moved from about 301 to 500 bolívars per dollar between end-2025 and May 2026	Price and settle in dollars where permitted, minimise local-currency balances and hedge working capital
Debt overhang and creditor claims	The sovereign and PDVSA remain in default, and creditor processes involving CITGO continue under OFAC licence conditions	Monitor the debt-restructuring process licensed under GL 58; resolution would open financing channels and support valuations
Infrastructure and earthquake recovery	Refining and upgrading assets need rehabilitation, and the June 2026 earthquakes affected at least seven states, most of all La Guaira	Target rehabilitation, power and reconstruction contracts, where needs are greatest and licensed supply routes exist

INVESTOR RISK NOTE

Venezuela offers one of the largest resource-recovery opportunities in the world, but investors must treat the legal position as the starting point. As of October 2026 the US Venezuela sanctions programme remains in force: the Government of Venezuela, PDVSA and the central bank are blocked, and activity is lawful only within OFAC general licences such as GL 46E, 50C and 52C, or a specific licence, with payments to blocked entities routed to a US Treasury-managed account under Executive Order 14373. The EU's measures, including an arms embargo and targeted listings, run to 10 January 2027; UK and Canadian targeted asset freezes also remain, and no EU or UK removal of Delcy Rodríguez, delisted by the US on 1 April 2026, has been reported. The direction of travel is positive: the US has reopened its embassy, the IMF has resumed dealings, and OFAC has issued more than a dozen new licences since January. The prudent approach is to take specialist sanctions counsel in every relevant jurisdiction, confine activity to licensed sectors and screened counterparties, and negotiate contingent contracts now so that projects are ready if further authorisations follow. Nothing in this guide suggests ways to avoid sanctions.

MARKET ACCESS

Venezuela is a founding member of OPEC and a WTO member, with the Caribbean coast giving short shipping routes to the US Gulf Coast refining system, which has once again become the main market for Venezuelan crude: exports to the US rose from 284,000 barrels a day in January 2026 to 786,000 in July, while shipments to India and Europe continue at lower levels. US licences now permit the export of US diluents, goods and services to the oil sector, restoring supply chains that had been closed since 2019. The Dragon field offers a cross-border gas link to Trinidad and Tobago's LNG and petrochemical industry, with exports possible from 2027. Venezuela's membership of Mercosur remains suspended, so regional trade relies mainly on bilateral arrangements; access for investors in any market depends first on the sanctions rules that apply to them.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Acting President (Delcy Rodríguez)	Leads the interim administration, its economic reforms and its engagement with the US, the IMF and the opposition	Primary reference point for understanding the pace and direction of the opening
Ministry of Hydrocarbons	Approves business plans, joint ventures and production participation contracts under the amended hydrocarbons law	Key regulator for any licensed oil and gas engagement
PDVSA (Petróleos de Venezuela)	State oil company and mandatory majority partner in oil joint ventures; remains blocked under US sanctions, with dealings permitted under GL 52C and related	Central counterpart for licensed oil investment; all dealings require prior sanctions review

Actor	Why It Matters	Waverley Engagement Angle
	licences	
Banco Central de Venezuela (BCV)	Manages the official exchange rate and foreign-exchange interventions; remains a blocked entity under US sanctions	Relevant for currency, repatriation and banking-sector matters
National Assembly	Passed the hydrocarbons law amendment and mining reforms, and is considering electricity-sector reform	Important for tracking the legislative framework for new sectors
US Treasury (OFAC) and US Embassy Caracas	OFAC sets the licences that define lawful activity; the Embassy, reopened in March 2026, leads US engagement with the interim government	Essential reference points for licence scope, guidance and commercial advocacy
Carbozulia and the mining authorities	State coal company and mining counterparts named in OFAC's coal and minerals licences	Relevant for contingent contracts in coal and minerals under GL 55A

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Venezuelan-American Chamber of Commerce and Industry (Venamcham) and the national business federation Fedecámaras are the main private-sector associations, while the international oil companies already operating under OFAC licences, including Chevron, Repsol, Eni, Shell and Maurel & Prom, are a valuable source of practical intelligence on licensed operations. CAF, the Development Bank of Latin America and the Caribbean, is headquartered in Caracas. The IMF is building technical engagement ahead of a return to surveillance, and the reopened US Embassy, together with OFAC's published guidance and FAQs, is the reference point for licensed US commercial activity. The Ibero-American Summit in Madrid in November 2026 is a further forum for engagement with the authorities.

INVESTOR PROFILE BEST SUITED

Venezuela currently suits experienced, compliance-led investors with a long time horizon: international oil and gas companies and oilfield-services firms able to operate under OFAC licences; suppliers of diluents, equipment and power solutions permitted under GL 47B and GL 48D; engineering and construction firms focused on rehabilitation and earthquake reconstruction; and telecoms and minerals investors prepared to negotiate contingent contracts now for performance once authorised. Special-situations investors may find opportunity in a future debt restructuring. All investors should be comfortable with high inflation, a managed currency and an evolving legal framework.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Take multi-jurisdiction sanctions advice before any commitment
Engage counsel covering the US Venezuela programme and EU, UK and Canadian measures to confirm which licences apply and what remains prohibited for your group and its banks.

STEP 2: Screen every counterparty and payment route
Check partners and owners against all applicable lists, apply the 50% rule, exclude persons tied to jurisdictions barred by the licences, and confirm payment routing to the US Treasury-managed account where required.

STEP 3: Assess the amended hydrocarbons framework
Review joint-venture and production participation contract terms, royalty and tax rates, and dispute-resolution options with the Ministry of Hydrocarbons and experienced local counsel.

STEP 4: Negotiate contingent contracts now
Use GL 49B, GL 55A, GL 56 or GL 62 to negotiate investment terms so projects are ready to proceed as soon as performance is authorised.

STEP 5: Monitor licences, the transition and debt restructuring
Track OFAC amendments, EU decisions ahead of the January 2027 renewal, the government-opposition talks and the licensed debt-restructuring process, and update scenario plans accordingly.